

Mortgage Interest Rates Guide

Overview

Mortgage interest rates are the cost of borrowing money to purchase a home, expressed as a percentage of the loan principal. Rates are influenced by the Federal Reserve benchmark rate, inflation, borrower credit score, loan-to-value ratio, and market conditions.

Current Benchmark Rates (2024-2025)

Loan Type	Term	Rate (APR)	Points	Min Credit Score
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Conventional Fixed	30-year	7.25%	0.5	620
Conventional Fixed	15-year	6.75%	0.5	620
FHA Loan	30-year	6.85%	0.0	580
VA Loan	30-year	6.50%	0.0	620
USDA Loan	30-year	6.60%	0.0	640
Jumbo Fixed	30-year	7.50%	1.0	700
ARM 5/1	30-year cap	6.40%	0.0	640
ARM 7/1	30-year cap	6.65%	0.0	640

Rate Factors and Eligibility

- Credit Score: Scores above 740 qualify for the best rates. Scores below 620 may need FHA or subprime loans.
- Down Payment: A 20% down payment avoids PMI and may lower your rate by 0.25-0.50%.
- Loan-to-Value (LTV): Lower LTV ratios (below 80%) attract better rates.
- Debt-to-Income (DTI): Most lenders require DTI below 43%. Ideal DTI is under 36%.
- Loan Term: 15-year loans have lower rates than 30-year but higher monthly payments.
- Loan Type: Government-backed loans (FHA, VA, USDA) often offer lower rates for eligible borrowers.
- Market Conditions: Federal Reserve rate and 10-year Treasury yield directly affect mortgage rates.

Monthly Rate History (2024-2025)

Month	30yr Fixed	15yr Fixed	5/1 ARM
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Jan 2024	6.62%	5.98%	6.00%
Feb 2024	6.90%	6.29%	6.15%
Mar 2024	6.87%	6.21%	6.10%
Apr 2024	7.17%	6.44%	6.38%
May 2024	7.06%	6.36%	6.30%
Jun 2024	6.95%	6.17%	6.22%
Jul 2024	6.78%	6.07%	6.10%
Aug 2024	6.50%	5.85%	5.95%
Sep 2024	6.18%	5.62%	5.80%
Oct 2024	6.54%	5.98%	6.05%
Nov 2024	6.81%	6.10%	6.20%
Dec 2024	6.85%	6.00%	6.15%
Jan 2025	7.04%	6.27%	6.30%
Feb 2025	6.96%	6.18%	6.22%

Glossary

- APR (Annual Percentage Rate): The true yearly cost of the loan including fees and interest.
- Points: Prepaid interest. 1 point equals 1% of the loan amount. Buying points lowers your rate.
- PMI (Private Mortgage Insurance): Required when down payment is below 20%. Adds 0.5-1.5% annually.
- ARM (Adjustable Rate Mortgage): Rate is fixed for an initial period then adjusts yearly.
- Fixed Rate Mortgage: Rate stays the same for the entire loan term.
- Escrow: Account held by lender for property tax and insurance payments.
- Amortization: Process of paying off a loan through scheduled payments of principal and interest.
- LTV (Loan-to-Value): Ratio of loan amount to appraised property value.
- DTI (Debt-to-Income): Monthly debt payments divided by gross monthly income.